The following letter relates to an American resident's account in the Cayman Islands. Rudolf Elmer claimed that it represents one example of customers using Baer accounts for the purposes of tax fraud, with the collusion of Baer. (Note highlighted text.)

Date: 12 May 1999

From: Valerie Mullen, Trust Department
Telephone: 345 949 7212
Fax: 345 949 0993

Subject: Winston Layne Trust

I had occasion to speak with Winston Layne today concerning amongst other things, the taxation of **the Trust. I explained to him that following the Grantor tax changes in 1996, the actual requirements on beneficiaries and trustees had been clarified recently. I explained that while I am no tax expert, I understood that if you were a US beneficiary, you had a duty to report this fact whether or not you receive a distribution.**

Winston Layne thanked me for bringing up the matter and for sharing what I knew with him. However, he advised that he did not want to disclose anything to the US tax people. He confirmed that we had done our duty in advising him of the tax changes but that he wished to keep the trust and the beneficiaries confidential.

While speaking with Mr. Layne, I ascertained that he would rather wait until the final version of the deed had been received from Maples & Calder before receiving a copy for review.

Finally, he confirmed that he would rewrite the letter of wishes for us in full.

Valerie Mullen